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UPDATE

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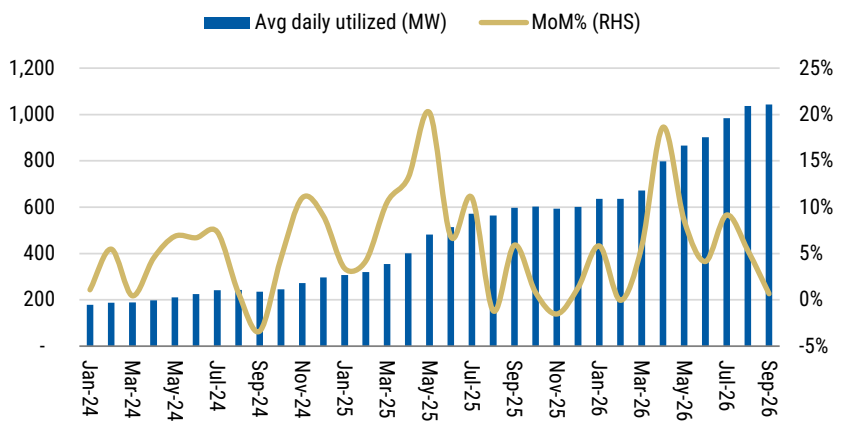
VNET Group Inc | Asia Pacific

Ulanqab data center total power usage: +0.7% MoM in Sep 2026

Key Takeaways

- Ulanqab data center electricity usage reached 751GWh in Sep 2026, +0.7% MoM; 3Q26 growth was 15% QoQ.
- Total power utilization was up 7MW MoM in Sep 2026 before accounting for changes in PUE, we estimate. 2Q26 utilization was up 142MW.
- We think the slowdown in net adds reflects the delay in domestic chipset ramp up, which is now expected in 4Q26.
- Data center electricity usage now accounts for 7.7% of total social usage in the region.

Exhibit 1: Ulanqab data center total power usage – June 2026, +4.1% MoM



Source: Ulanqab government, Morgan Stanley Research. Note: This should account for total power usage including non-IT equipment.

MORGAN STANLEY ASIA LIMITED+

Tom Tang
Equity Analyst
Tom.Tang@morganstanley.com +852 3963-1860

Yang Liu
Equity Analyst
Yang.Liu@morganstanley.com +852 2239-1911

Gary Yu
Equity Analyst
Gary.Yu@morganstanley.com +852 2848-6918

VNET Group Inc (VNET.O, VNET US)
Top Pick

Greater China Telecoms | China

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	US$14.00
Up/downside to price target (%)	171
Shr price, close (Oct 8, 2026)	US$5.17
Sh out, dil, curr (mn)	271
Mkt cap, curr (mn)	US$1,401
EV, curr (mn)	US$3,885
Avg daily trading value (mn)	US$50.65

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(1.52)	1.32	1.49	2.68
Prior EPS (Rmb)**	-	-	-	-
Revenue, net (Rmb mn)	9,949	11,936	14,599	17,568
EBITDA (Rmb mn)	2,906	3,736	4,826	6,094
ModelWare net inc (Rmb mn)	(418)	358	405	726
P/E	NM	26.3	23.2	12.9
P/BV	2.6	1.1	0.9	0.7
EV/EBITDA	11.2	8.8	8.8	7.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

VNET Group Inc (VNET.O)

Base case, 10-year discounted cash flow (DCF) model. Our assumption of weighted average cost of capital (WACC) is 8.7%, with a 4.0% cost of debt, 14.0% cost of equity and 50% debt weighting. We assume a terminal growth rate (TGR) of 3%.

Risks to Upside

- Adding new wholesale contracts
- Faster move-in than expected
- Further interest rate cuts in China or the US
- Progress in asset monetization via REITs at accretive valuations

Risks to Downside

- Hyperscalers reducing their cloud capex, especially AI-related investment
- Delay of capacity delivery
- Weak sales execution

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

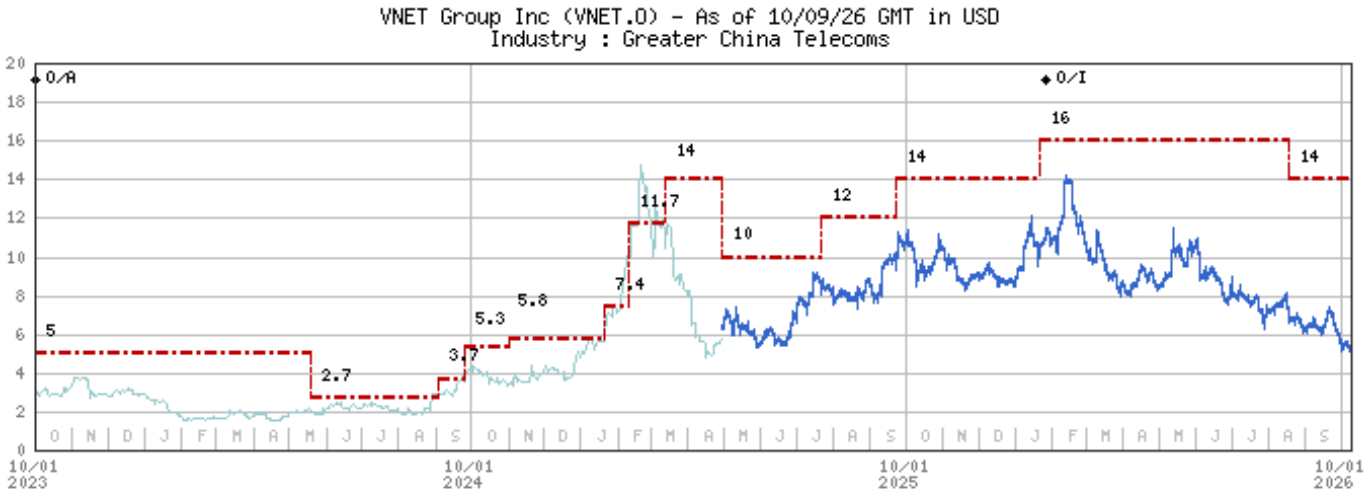
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : O/A; 1/27/26 : O/I

Price Target History: 5/18/21 : 37; 10/8/21 : 26; 2/9/22 : 16; 5/16/22 : 12; 9/12/22 : 11; 11/15/22 : 8.2; 3/13/23 : 5; 5/20/24 : 2.7; 9/3/24 : 3.7; 9/26/24 : 5.3; 11/1/24 : 5.8; 1/21/25 : 7.4; 2/10/25 : 11.7; 3/13/25 : 14; 4/30/25 : 10; 7/22/25 : 12; 9/22/25 : 14; 1/22/26 : 16; 8/19/26 : 14

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Telecoms

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Gary Yu		
China Mobile Limited (0941.HK)	E (01/27/2026)	HK$79.40
China Mobile Limited (600941.SS)	E (07/06/2023)	Rmb97.96
China Telecom (601728.SS)	E (07/06/2023)	Rmb6.42
China Telecom (0728.HK)	E (01/27/2026)	HK$4.53
China Tower Corp Ltd (0788.HK)	O (01/21/2025)	HK$9.08
China Unicom (0762.HK)	E (01/27/2026)	HK$5.56
China United Network Communications (600050.SS)	U (10/30/2016)	Rmb4.27
Tom Tang		
China Communication Service Co Ltd (0552.HK)	E (11/12/2024)	HK$4.04
Chunghwa Telecom (2412.TW)	E (04/29/2025)	NT$146.50
Far Eastone (4904.TW)	O (10/16/2024)	NT$106.00
HKBN Ltd (1310.HK)	E (10/20/2025)	HK$5.71
HKT Trust and HKT Ltd. (6823.HK)	O (12/11/2020)	HK$11.85
PCCW Ltd (0008.HK)	E (09/07/2023)	HK$5.08
SUNeVision Holdings Limited (1686.HK)	O (08/03/2020)	HK$5.40
Taiwan Mobile (3045.TW)	E (01/27/2026)	NT$124.00
VNET Group Inc (VNET.O)	O (10/04/2017)	US$5.17
Yang Liu		
GDS Holdings Ltd (GDS.O)	++	US$30.44

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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